



# **Davy Select Approved Retirement Fund (ARF) Account (Execution-Only)**

**Application Pack for Intermediary Clients**

This Application Form is intended for those individuals who have chosen their pension product without any assistance from Davy.

# Davy Select Approved Retirement Fund (ARF) Account (Execution-Only) Application Pack

## Thank you for choosing Davy Select

Please be aware that in availing of the Davy Select Approved Retirement Fund (ARF) Account (Execution-Only) ('Davy Select ARF (Execution-Only)') you give all orders to buy and sell investments on your own initiative, without investment advice or assistance from Davy.

Before you complete this application form to open a Davy Select Approved Retirement Fund (ARF) Account (Execution Only) it is important to ensure that you have taken time to read and understand all of the account opening information provided, including the Execution-Only Service Terms which include the Terms & Conditions, the Risk Disclosure Statement, the Order Execution Policy, the Schedule of Fees & Charges, the Conflicts of Interest Policy, the Privacy Notice and the Client Asset Key Information Document, as well as the ARF specific Terms of Business, collectively referred to as the 'ARF Terms of Business'. If you are in any doubt, you should discuss your questions or concerns with your intermediary who can provide you with the necessary information, assistance or advice.

In order to comply with the Criminal Justice (Money Laundering and Terrorist Financing) Acts 2010 as amended Davy is required to retain current identification and address verification documentation for all clients. Your intermediary will discuss with you what verification documents are required to complete your application.

We fully respect your right to privacy, and personal data which we obtain and process about you ('Information') will be treated in accordance with our Privacy Notice,

our standard principles regarding client confidentiality and applicable data protection legislation. We take your privacy very seriously and our policy is to only collect and process necessary information about you. We shall use the information that you provide to us in this form for the purpose of providing our services to you, including without limitation, servicing any of your accounts and the execution of transactions on your accounts, and the provision of information in relation to Davy products and services. Full details of how we use and safeguard your personal data are available in your terms and conditions and in The Davy Group Privacy Notice, which can be found on the Davy website

We would ask you to read this application form carefully. Please complete pages 1-9 jointly with your Intermediary if necessary and follow the check list below to ensure that you have provided the required documentation with your application form. You or your intermediary should return this documentation on your behalf, together with your completed application form to: **Davy Select Intermediary Team, Davy Select, Davy House, 49 Dawson Street, Dublin 2**

## Checklist:

- One name verification document;
- One address verification document; and
- One PPS verification document

In order to place your money on deposit, we are obliged to request and verify your tax reference number (PPS number) so as to comply with the Return of Payments Regulation 2008.

**Warning: The value of your investment may go down as well as up. You may lose some or all of your invested capital. This account does not constitute investment advice as it does not take into account your investment objectives, knowledge and experience and financial situation.**

## Client Verification (to be completed by intermediary)

### Confirmation from Intermediary – Client Verification

I confirm [insert client name]

has been met face to face by me and is a current client of [insert name of intermediary firm]

Signed:

[Individual's name and name of firm]

Date (DD/MM/YYYY):

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If you wish to deal in US stocks you will need to complete a W-8BEN form. Please contact your Financial Advisor or call Davy Select on 1890 85 85 85 if you require these forms.

# Davy Select ARF (Execution-Only) Application Form

You must complete all sections of this form in order for us to open an account for you.

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## Contact Details

|                      |                      |                      |                      |
|----------------------|----------------------|----------------------|----------------------|
| Title                | <input type="text"/> | *Email Address       | <input type="text"/> |
| First Name           | <input type="text"/> | Daytime Phone Number | <input type="text"/> |
| Last Name            | <input type="text"/> | *Mobile Phone Number | <input type="text"/> |
| Home Address         | <input type="text"/> |                      |                      |
| <input type="text"/> |                      |                      |                      |

You must provide a daytime phone number and mobile phone number. These will be used to contact you in the event of a problem with a trade. Your mobile number and email address are required to use our automated password reset process and must be provided.

\*By opening a Davy Select Online Account you are registering for access to myDavy and choosing to receive your correspondence online. myDavy is the secure area of the Davy website where you can access your Davy account information online. Online correspondence may include contract notes, valuation reports, Terms and Conditions and any other documents as Davy may determine from time to time for your Davy Select Online Account(s). We will send you an email or SMS text message when important information is available for you to access. You may request information by paper if it will assist you with your decision-making, and we will supply you with paper copies of such documentation free of charge. You can request this by contacting us in writing at Davy Select Intermediary Team, Davy Select, Davy House, 49 Dawson Street, Dublin 2.

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## Personal Details

|                                                                                                                                                   |                      |                                                              |                                                    |
|---------------------------------------------------------------------------------------------------------------------------------------------------|----------------------|--------------------------------------------------------------|----------------------------------------------------|
| Date of Birth (DD/MM/YYYY)                                                                                                                        | <input type="text"/> | Are you a US Citizen or Green Card Holder?                   | <input type="radio"/> Yes <input type="radio"/> No |
| Country of Birth                                                                                                                                  | <input type="text"/> | Country of Tax Residence                                     | <input type="text"/>                               |
| Country of Citizenship                                                                                                                            | <input type="text"/> | (please provide ALL countries in which you are tax resident) |                                                    |
| Country of Residence                                                                                                                              | <input type="text"/> | Tax Identity Number(s) e.g. PPS, NINO, SSN                   | <input type="text"/>                               |
| **Nationality                                                                                                                                     | <input type="text"/> |                                                              | <input type="text"/>                               |
| <p>**Under MiFID II (Markets in Financial Instruments Directive) we may require additional information from you depending on your nationality</p> |                      |                                                              |                                                    |

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## Occupation

|                 |                      |                 |                      |
|-----------------|----------------------|-----------------|----------------------|
| Occupation      | <input type="text"/> | (Employer Name) | <input type="text"/> |
| Industry Sector | <input type="text"/> | Business Name   | <input type="text"/> |

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## Residency

Are you resident in Ireland?

☒ Yes ☐ No

How long have you been living in your country of residence?

☒ Less than 3 years

☐ 3 - 5 years

☐ 5 - 10 years

☐ 10 years plus

If not resident in Ireland please confirm your reason for opening an account with Davy

Text Field 26

**Warning: If you are not tax resident in Ireland we recommend that you seek appropriate tax advice before proceeding with this application. There may be cross border tax implications both now and at retirement that you should consider.**

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## Please indicate your source AND amount of funds

Please confirm the amount of your initial investment and the country from which funds will be transferred to Davy.

**Source** (Please tick appropriate box(es))

**Amount**

Irish/UK Institution

☒ Initial Investment Amount

EU Institution

☒ Country

Non-EU Institution

☐

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## Please indicate your source of wealth

This refers to how you accumulated your total net wealth. For example, your source of funds for this investment may be as a result of a sale of shares whereas your total net worth may have been accumulated as a result of your occupation, i.e. Salary / Bonus.

**Source** (Please tick appropriate box(es))

Business Interests

☒ Pension Income

☐

Compensation Payment

☒ Salary

☐

Gift

☒ Sale of Main Residence

☐

Inheritance

☒ Sale of Other Property

☐

Investment Income

☒ Variable Remuneration e.g. Bonus / Commission

☐

Lottery / Betting / Casino Win

☐

Please give details in relation to the selection made:

Text Field 113

## Source of Assets to be Transferred to the Davy Select ARF (Execution-Only)

Please tick appropriate box and fill in details:

### ☐ Retirement Annuity / Retirement Annuity Trust Scheme / Personal Retirement Savings Account / Retirement Bond

| Pension Provider                       | Policy Number                          | Transfer Value                         |
|----------------------------------------|----------------------------------------|----------------------------------------|
| <input type="checkbox"/> Text Field 30 | <input type="checkbox"/> Text Field 31 | <input type="checkbox"/> Text Field 32 |
| <input type="checkbox"/> Text Field 33 | <input type="checkbox"/> Text Field 34 | <input type="checkbox"/> Text Field 35 |
| <input type="checkbox"/> Text Field 36 | <input type="checkbox"/> Text Field 37 | <input type="checkbox"/> Text Field 38 |
| <input type="checkbox"/> Text Field 39 | <input type="checkbox"/> Text Field 40 | <input type="checkbox"/> Text Field 41 |

### ☐ Occupational Pension Scheme

| Pension Provider                       | Policy Number / Revenue Ref            | Name of Scheme                         | Transfer Value                         |
|----------------------------------------|----------------------------------------|----------------------------------------|----------------------------------------|
| <input type="checkbox"/> Text Field 42 | <input type="checkbox"/> Text Field 46 | <input type="checkbox"/> Text Field 50 | <input type="checkbox"/> Text Field 54 |
| <input type="checkbox"/> Text Field 43 | <input type="checkbox"/> Text Field 47 | <input type="checkbox"/> Text Field 51 | <input type="checkbox"/> Text Field 55 |
| <input type="checkbox"/> Text Field 44 | <input type="checkbox"/> Text Field 48 | <input type="checkbox"/> Text Field 52 | <input type="checkbox"/> Text Field 56 |
| <input type="checkbox"/> Text Field 45 | <input type="checkbox"/> Text Field 49 | <input type="checkbox"/> Text Field 53 | <input type="checkbox"/> Text Field 57 |

### ☐ Approved Retirement Fund

| Qualifying Fund Manager                | Policy Number                          | Transfer Value                         |
|----------------------------------------|----------------------------------------|----------------------------------------|
| <input type="checkbox"/> Text Field 58 | <input type="checkbox"/> Text Field 59 | <input type="checkbox"/> Text Field 60 |
| <input type="checkbox"/> Text Field 61 | <input type="checkbox"/> Text Field 62 | <input type="checkbox"/> Text Field 63 |
| <input type="checkbox"/> Text Field 64 | <input type="checkbox"/> Text Field 65 | <input type="checkbox"/> Text Field 66 |
| <input type="checkbox"/> Text Field 67 | <input type="checkbox"/> Text Field 68 | <input type="checkbox"/> Text Field 69 |

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### Minimum Distributions from ARF

Each year, a tax liability based on an imputed distribution shall apply for ARF holders aged 60 or over for the full tax year. Davy will deduct this tax due from ARF funds and make this return to Revenue. The rate of the imputed distribution which applies will be determined by reference to the aggregate value of the assets in an individual's ARF(s) and/or a Vested PRSA(s) on 30th November each year:

- 4% for aggregated Vested PRSA(s) and ARF(s) of €2 million or less, where the individual not aged 70 or over for the whole of the tax year,
- 5% for aggregated Vested PRSA(s) and ARF(s) of €2 million or less, where the individual aged 70 or over for the whole of the tax year,
- 6% for aggregated Vested PRSA(s) and ARF(s) of over €2 million of the entire aggregate value - not just the portion that exceeds €2 million.

Actual distributions made during the year from the ARF may be deducted from the imputed distribution. Please note that it is your responsibility to request a withdrawal. If you do not request this withdrawal, Davy will process the imputed distribution at the end of the tax year. For individuals who have ARF(s) and/or Vested PRSA(s) valued in excess of €2.0 million which are not all managed by the same provider, there is a mandatory obligation to appoint a 'nominee manager' to oversee the payment of distributions and payment of any tax.

If you have multiple ARF(s)/Vested PRSA(s) with Davy, Davy will automatically apply an annual distribution to each account separately. Where you have multiple Davy ARF(s)/Vested PRSA(s) and you wish for the distribution to be paid from one designated account, you must confirm this to us in writing each year.

Please confirm if you would like Davy to arrange an annual distribution to meet the imputed distribution obligation.

☐ Yes

☐ No

Davy will pay your ARF distributions to your personal bank account or to your Davy trading account. Please select one of the options below.

i. Davy trading account ref:

ii. Personal bank account. The bank account must be in your name or jointly in your name.

### Bank details for distributions:

Bank

Branch

Name of bank account holder(s)

(In the case of a joint bank account)

BIC

IBAN

(Your BIC and IBAN numbers can be found on your bank account statement.)

If adding a joint bank account to a Davy account in a sole name, please provide the Beneficial Ownership details of the second account holder.

Name

Address

Date of Birth

Account Holders Relationship

# Davy Select ARF (Execution-Only) Declaration

By signing this declaration page you are applying to open a Davy Select Approved Retirement Fund (ARF) Account (Execution-Only) and agree to the following:

## ARF Terms & Conditions

I have read and agree Davy's ARF Terms & Conditions, including the Execution-Only Service Terms ('Terms'). These Terms refer to and incorporate the following documents / policies, which are available on our website ([www.davysselect.ie](http://www.davysselect.ie)): the Terms & Conditions, the Risk Disclosure Statement, the Order Execution Policy, the Schedule of Fees & Charges, the Conflicts of Interest Policy, the Privacy Notice and Client Asset Key Information Document, as well as the ARF Terms of Business. The Execution-Only Service Terms for Intermediary Clients are applicable at the date of application and may be subsequently changed.

I confirm that I am aware that the documents and policies referenced in the Execution-Only Service Terms are available on [davysselect.ie/legal/policies](http://davysselect.ie/legal/policies).

I understand the risks associated with investing in Financial Instruments and understand that my funds may be at risk.

I understand that this account is provided on an execution-only basis from Davy and that Davy will not be providing me with investment advice or recommendations. Accepting the Execution-Only Service Terms requires the following specific consents.

I understand that Davy will usually communicate with you through myDavy, but Davy may also communicate with you by electronic or telecommunication means (including by means of our website) or by way of written correspondence.

## Arrangements for Holding Client Assets

By signing this declaration I hereby provide the consents specified in Section 8 of the Execution-Only Service Terms for Intermediary clients.

## Information via the website

- I consent to Davy providing the information described below to me via its website.
- General information about Davy and its services
- Information about the nature and risks of certain financial instruments
- Information concerning the safeguarding of financial instruments and holding of client money
- Information on costs and associated charges

- Information about Davy's execution policy
- Documents and policies referenced in the Execution-Only Service Terms

## Order Execution Policy

I have read and agree to the 'Information about Davy's Order Execution Policy' provided to me in the Terms. I consent to Davy executing orders on my behalf outside a Regulated Market, Multilateral Trading Facility or Organised Trading Facility.

## Fees & Charges

I confirm that I have received details of the applicable Davy Fees & Charges.

## Risk Disclosure Statement

I have received the Risk Disclosure Statement, and have read this document carefully. I understand the risks and other significant complexities of trading in financial instruments.

## Intermediary Authorisation

I understand that as my account has been opened via my intermediary:

- Davy will provide my intermediary with access to all correspondence related to this account, such as investment reports, contracts, notes, statements and any other correspondence related to my account until instructed otherwise in writing;
- Davy will discuss my account with my intermediary, however, my intermediary will not be able to give investment instructions, enter into investments on my behalf or change any details on my account without my approval;
- this authorisation will no longer be effective in the event of my death.



# Application Declaration

## I declare that

1. The assets in the Approved Retirement Fund, to be held in my name with Davy, the Qualifying Fund Manager, shall consist only of one or more of the following:
  - i. Assets transferred to the fund by virtue of the exercise by me of an option in accordance with Section 772(3A), Section 784(2A) or Section 787H, Taxes Consolidation Act 1997;
  - ii. Assets which were previously held in another Approved Retirement Fund, as defined in Section 784A, Taxes Consolidation Act 1997, held in my name or in that of my deceased spouse;
  - iii. Assets derived from the assets referred to in (i) and (ii) above; or
2. I am beneficially entitled to the assets to be transferred to the Approved Retirement Fund to be held by me with Davy, the Qualifying Fund Manager.

**I have read and understood each of the terms set out in this Application Pack and I hereby appoint J & E Davy Unlimited Company, trading as Davy, to be the Qualifying Fund Manager and Investment Manager of my ARF. I understand and acknowledge that all transactions will be subject to the ARF Terms & Conditions of Davy that are applicable at the time of each transaction respectively, and that the ARF Terms & Conditions applicable at the date of this application may subsequently be varied or amended by Davy at any time without prior notice to me.**

### Signature of Applicant

Signature \_\_\_\_\_

Date \_\_\_\_\_

### Signature of Provider/Intermediary

Signature \_\_\_\_\_

Date \_\_\_\_\_

# Initial Investment Account Order Form

All sections of this form must be completed in full

This section of the Account Application Form may be used to indicate your proposed initial investments, if any, with your account opening application only. Any subsequent orders must be placed in accordance with our Execution-Only Service Terms for Intermediary Clients.

The terms of this Initial Investment Account Order Form form part of our Execution-Only Service Terms for Intermediary Clients.

The orders on this form will be placed net of any relevant fees and commissions. Details of our current scale of charges are included in our Execution-Only Service Terms for Intermediary Clients and are also available from our website at [www.davysselect.ie](http://www.davysselect.ie).

Consider maintaining 3% liquidity in your account to cover fees and charges as set out in our Execution-Only Service Terms for Intermediary Clients.

| Name of Fund, Share or Product               | ISIN/Sedol/Ticker                            | Amount of money<br>or % of investment        | Client Settlement<br>Currency                |
|----------------------------------------------|----------------------------------------------|----------------------------------------------|----------------------------------------------|
| <input type="text" value="Text Field 90"/>   | <input type="text" value="Text Field 91"/>   | <input type="text" value="Text Field 92"/>   | <input type="text" value="Text Field 93"/>   |
| <input type="text" value="Text Field 94"/>   | <input type="text" value="Text Field 95"/>   | <input type="text" value="Text Field 96"/>   | <input type="text" value="Text Field 97"/>   |
| <input type="text" value="Text Field 98"/>   | <input type="text" value="Text Field 99"/>   | <input type="text" value="Text Field 100"/>  | <input type="text" value="Text Field 101"/>  |
| <input type="text" value="Text Field 102"/>  | <input type="text" value="Text Field 103"/>  | <input type="text" value="Text Field 104"/>  | <input type="text" value="Text Field 105"/>  |
| <input type="text" value="Text Field 106"/>  | <input type="text" value="Text Field 107"/>  | <input type="text" value="Text Field 108"/>  | <input type="text" value="Text Field 109"/>  |
| <input type="text" value="Text Field 1010"/> | <input type="text" value="Text Field 1011"/> | <input type="text" value="Text Field 1012"/> | <input type="text" value="Text Field 1013"/> |
| <input type="text" value="Text Field 1014"/> | <input type="text" value="Text Field 1015"/> | <input type="text" value="Text Field 1016"/> | <input type="text" value="Text Field 1017"/> |
| <input type="text" value="Text Field 1018"/> | <input type="text" value="Text Field 1019"/> | <input type="text" value="Text Field 1020"/> | <input type="text" value="Text Field 1021"/> |

Total amount of money to invest

We will use all reasonable endeavours to place your instructions within one business day (and as soon as possible otherwise) from the date the account is open and funds have been credited to your account. We will telephone you to confirm the instructions where they are related to equities and Bond orders.

We will not telephone you to confirm the instructions where they are related to investment funds and ETFs (Exchange Traded Fund). However, if you do require us to telephone you to confirm the instruction please tick here ☐ ☐ Tick Box 23

Where we are required to telephone you as set out above, we cannot proceed with your instruction if we are unable to make contact.

Prices of securities may change and/or securities may no longer be available between the date you complete this form and the date we place the orders. We are not liable for any price change or the unavailability of the securities.

## Signed

Signature

Date

## Internal Use Only

Client Account Number

Broker Code

Dealer's Name

Date Received

# Davy Select ARF (Execution-Only)

## Terms of Business

It is important that you read these terms of business ('Terms of Business') carefully as they set out the basis on which Davy will act for you in respect of your Approved Retirement Fund ('ARF') and our aims in acting for you. You and we are bound by these Terms should we accept your application to open an ARF. These terms apply to the ARF service only and should be read in conjunction with all of the account opening information, including the Execution Service Terms (provided separately from this Application Pack), collectively the ARF Terms & Conditions. You should read and consider all Terms carefully. In the event of a conflict between these ARF Terms of Business and our Execution-Only Service Terms, these ARF Terms of Business will prevail.

### 1. What is an Approved Retirement Fund?

An Approved Retirement Fund ('ARF') is a tax exempt investment fund into which you can transfer the balance of your pension fund after you receive your lump sum. You may make withdrawals from your ARF (which shall be taxable). The key purpose of an ARF is to provide benefits over the duration of your life from retirement and they should be viewed as long term investments.

### 2. Structure of ARF

Under an ARF, you will enter into a contract with a Qualifying Fund Manager ('QFM'). The role of the QFM is to ensure your ARF is managed in line with prevailing Revenue guidelines and legislation and to account for any tax that may be due on distributions from ARFs. J & E Davy Unlimited Company ('Davy') has been approved by the Revenue Commissioners as an approved QFM and your ARF is held in your name by Davy as the QFM.

You should be aware that you will remain the beneficial owner of all assets in your ARF

### 3. The service we will provide to you in respect of your ARF

Davy offers an ARF developed in line with Revenue guidelines. The main feature of the Davy Select ARF (Execution-Only) is that it offers individuals access to the execution investment service of Davy in respect of their ARF assets.

This approach enables you as the ARF holder to have access to the investment services available through Davy subject only to compliance with prevailing restrictions on eligible investments for ARF funds. The manner in which we will manage your ARF assets and other features of our execution service are set out in the Terms & Conditions for Execution Service, a copy of which has been provided to you. We will hold and manage funds, equities, cash, bonds or other suitable financial instruments in the ARF on your behalf subject to your instructions as set out

in this Application Pack. If you wish to add real property assets to the ARF, you can then manage the selection and other property management functions of these properties yourself, subject to the execution of a management agreement with us.

### 4. Transfers of assets into your ARF

The only assets which can be transferred into your ARF are:

- The value of retirement benefits not taken as a lump sum at retirement, arising from a defined contribution occupational pension scheme or a defined benefit pension scheme
- The value of Additional Voluntary Contributions ('AVCs') at retirement not taken as a lump sum;
- The value of a Personal Pension Plan/Retirement Annuity Contracts ('RAC') or Personal Retirement Savings Account ('PRSA') or Retirement Bond not taken as a lump sum;
- The value of assets transferred from another ARF held by you (or your deceased spouse);
- The value of assets transferred to you under the terms of a court order.

### 5. Taxation

Tax information contained herein is based on Davy's understanding of current tax legislation in Ireland and the Revenue Commissioners' interpretation thereof. It is provided by way of general guidance only and does not purport to be either exhaustive or definitive and is subject to change without notice. It is not a substitute for professional advice. You should consult your tax advisor about the rules that apply in your individual circumstances.

Based on our understanding and interpretation of current Irish

tax legislation, any income and gains arising within the ARF are exempt from tax so long as they are held within the ARF structure. This provides an exemption from:

- Irish income tax, including the income tax levy;
- Irish Capital Gains Tax ('CGT');
- Deposit Interest Retention Tax ('DIRT');
- Irish Dividend Withholding Tax ('DWT') in respect of distributions paid from Irish resident companies; and
- Exit tax from fund-based investment structures.

**Note on UK Investments: Your ARF is currently not entitled to UK Double Taxation Relief in respect of investments in UK assets. Therefore income from such investments held by your ARF may be liable to a UK Withholding Tax and any gains may be subject to UK Capital Gains Tax on disposal.**

**Note on Foreign Investments: Investments made by your ARF in some foreign jurisdictions may give rise to irrecoverable withholding taxes.**

## 6. Statutory Investment Restrictions

Your ARF is subject to certain statutory investment restrictions. The purchase or transfer of assets will be treated as a taxable distribution (please refer to Section 8) in so far as they have been used for the following purposes and this will result in an assessment of PAYE on you:

- the provision of a loan from your ARF to you or a connected party;
- the acquisition or sale of assets from you or from a connected person by your ARF;
- the purchase by your ARF of a property to be used as
- a holiday property or as a residence by you or by a connected person;
- The acquisition by your ARF of shares or any other interests in a close company, or which would be a close company if resident in the State, in relation to which you, or anyone connected with you, are already a participator in that company at the date of the acquisition.
- The investment by your ARF in tangible moveable property, e.g. cars, works of art, wine, jewellery, etc.

The term 'connected with' used above as defined in tax legislation has very wide meaning, and includes your spouse, civil partners, parents, children, grandparents, grandchildren,

siblings and their spouses, other relatives (and their spouses) of you or of your spouse, trusts you established, companies you can control, etc.

## 7. Making Withdrawals from your ARF

You can withdraw funds from your ARF when you require (please note Section 9 on the imputed distribution requirements). You may make regular withdrawals or single ad hoc withdrawals from your ARF. There is no minimum or maximum withdrawal. The ARF offers you the flexibility to vary your income drawdown to meet your changing needs in retirement.

Any withdrawal you make from your ARF is subject to PAYE at source and Davy, as the QFM of your ARF, is obliged to make the appropriate deductions. Taxation will be applied at the marginal rate, unless Davy has received confirmation from the Irish Revenue Commissioners that your tax credits have been assigned to J&E Davy ARF (approved employer number 9610102M). In the event that you wish to receive monies, we will make payment to you direct to your trading account with Davy or your bank account.

## 8. Note on Imputed Distributions

Legislation has introduced an annual taxable 'imputed distribution' which will be applied to the value of assets in ARFs. This means that PAYE will be payable on an amount which is assumed to be taken out of your ARF by you. The imputed distribution amount as at August 2025 is 4% for aggregated Vested PRSA(s) and ARF(s) of €2 million or less, where the individual is not aged 70 or over for the whole of the tax year, 5% for aggregated Vested PRSA(s) and ARF(s) of €2 million or less, where the individual is aged 70 or over for the whole of the tax year, 6% for aggregated Vested PRSA(s) and ARF(s) of over €2 million of the entire aggregate value - not just the portion that exceeds €2 million. This imputed distribution is applicable to ARF holders who are 60 or over for the full tax year.

Actual distributions made during the year from the ARF may be deducted from the imputed distribution to arrive at the net imputed amount, if any, to be regarded as a distribution.

As QFM, Davy is obliged to deduct income tax and levies from ARF funds and make this return to Revenue. Where you have not taken an income to the value of the percentage distribution applicable to you as outlined above, it is Davy policy to calculate the required gross distribution for the relevant tax year and automatically make this distribution payment to you, except where you explicitly ask us not to or where there is insufficient cash in your ARF account.

In the event that there is insufficient cash in the ARF to make this return, we will dispose of certain assets in your portfolio in order to enable us to satisfy the legislative requirements.

If by the end of the relevant tax year, there remains no cash on your account, then your ARF is subject to tax based on the imputed distribution. In this situation, only the tax amount is deducted from your ARF and you will not receive an income payment.

You can select the imputed payment (i.e. pay tax only) by instructing Davy in writing.

If you hold an ARF(s) and or Vested PRSA(s) with other QFMs, please note that Davy will only accept responsibility for the imputed distribution arising on these ARF(s) and/or Vested PRSA(s) where the aggregate value of the assets held in the ARF(s) and/or Vested PRSA(s) is over €2 million and Davy is the nominated QFM in accordance with s790D, Taxes Consolidation Act Consolidation Act, 1997.

### 9. Benefits in the Event of Death

In the event of your death, your ARF becomes an asset of your estate and will therefore be subject to the terms of your will or should you die without leaving a valid will, it will be dealt with in accordance with the intestacy provisions of the Succession Act 1965.

A transfer of ARF assets after your death is taxed as follows (as at July 2025):

| ARF inherited by                                                                   | Income Tax due                                                                        | Capital Acquisitions Tax (CAT) due            |
|------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|-----------------------------------------------|
| <b>Surviving spouse</b>                                                            | None where transferred into an ARF of the surviving spouse.                           | None                                          |
| <b>Child aged 21+ at date of your death</b>                                        | Yes. Income tax at 30%                                                                | None                                          |
| <b>Child aged less than 21 at date of your death</b>                               | None                                                                                  | Yes. Normal inheritance tax rules will apply  |
| <b>Stranger in blood (anyone else not being your surviving spouse or children)</b> | Yes. This will be treated as a distribution by the deceased in his/her year of death. | Yes. Normal inheritance tax rules will apply. |

### 10. Transfers in and out of your Davy ARF

No pension transfer charges are levied by Davy:

- upon the transfer of assets into a Davy ARF;
- if you wish to withdraw funds from your ARF or to transfer funds to another ARF provider;
- upon the distribution of your ARF funds upon your death.

Please note that other fees or charges associated with these proposed transfers may be levied by Davy in our capacity as

Investment Manager and these are set out in the Terms & Conditions for Execution Service, a copy of which has been provided to you.

All requests to transfer must be made in writing to the Davy Select at: Davy, Davy House, 49 Dawson Street, Dublin 2.

We will work with you to ensure that assets are transferred as efficiently as possible. You should be aware that there may be delays in transferring some assets held within your ARF due to restrictions applying to transfers or other factors. In the event that there are third party costs associated with transferring your ARF, you will be liable for these.

### 11. Divorce or Legal Separation

The assets in your ARF may become subject to a court order, following a decree of divorce or legal separation. Your spouse may, as a result, become entitled to a specific proportion of your ARF. Such court orders can also be made for the benefit of parties other than your spouse (e.g. dependents).

### 12. Risks

**WARNING: The following is a list of some important risks factors that you should consider prior to making a decision to invest in an ARF. The list is not intended to be comprehensive or exhaustive. It is for informational purposes only. Various other risks may also apply.**

#### *Pension risk*

You are responsible for making some or all of the investment decisions in relation to your pension. Your choices may not be the best options. It is important that you seek independent professional advice prior to making any decisions which have tax, legal or other financial implications.

#### *Investment risk*

The value of your investment may go down as well as up. You may lose some or all of the money invested. Past performance is not a reliable guide to future performance. The ARF may be invested in particular securities, such as stocks or bonds, which can fall in value at any time due to the value in global stock markets.

There is no guarantee that the ARF will meet its objectives of providing for your longer term income needs.

Your ARF is exposed to risk associated with its underlying investments. The risks associated with each investment are specific to the investment but will include some or all of the following (this list is not intended to be exhaustive):

- ARF are a long term investment and the effect of inflation can erode any 'real' investment returns over time.
- The ARF may have exposure either directly or indirectly

to non Euro currencies. Currency movements may impact negatively on the overall performance of the ARF.

- Investments may be adversely affected if any of the institutions with which money is deposited suffer insolvency or other financial difficulties (default).
- The ARF may be invested in securities which cannot be easily sold in the market at a fair value and therefore cash may not be available to you when needed.
- For investment in funds, there is a risk that there will be a financial loss due to the investment manager making the wrong investment decisions. The investment manager may choose the wrong asset allocation or specific stock selection or overall investment strategy.

#### ***Tax risk***

Tax laws and regulations are constantly changing, and they may be changed with retrospective effect which may have a negative impact on ARF or underlying investments. No assurance can be given regarding the actual level of taxation that may be imposed upon ARF or underlying investments. Any tax information that may be provided for Irish resident clients is based on Davy's current understanding of the tax legislation in Ireland and the Revenue interpretation thereof. It is provided by way of general guidance only and is neither exhaustive nor definitive and is subject to change without notice. It is not a substitute for professional advice. You should consult your tax advisor about the rules that apply in your individual circumstances.

#### ***Income risk***

There is a risk that an investor who takes regular withdrawals and/or imputed withdrawals over the life of his or her retirement is exposed to 'bomb out' risk, which is the risk that the income needs of investor may not be met by the value of his or her ARF.

### **13. Changes**

If we are obliged to change the terms of your ARF due to legislative changes, we will write to you as soon as practicable in advance of such changes coming into force (if given sufficient notice), outlining the impact of the changes for you.

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